

The 7 Ways a Dealership **Makes Money** on Your Deal.

What happens to your money between
"I'm interested" and "where do I sign."

BEFORE YOU READ THIS

You are **not** the problem.

Most car buyers are smart, prepared people who did their research. They told themselves they were not going to get taken. And then they got taken anyway.

Not because they were naive. Because the dealership had information they did not.

The car buying process was not designed for you. It was designed by dealers, tested over decades, and refined specifically to extract as much money as possible from a buyer who walks in once every three to five years to negotiate against people who do this every single day.

This guide does not tell you how to fight back. It tells you exactly where the money goes so that the next time you walk in, you at least know what is happening.

There are seven ways a dealership makes money on a single deal. Most buyers are aware of maybe one or two. By the time you finish this, you will know all seven.

"If you can't spot the mark at the table, it's you."

Old saying. Applies to every dealership in America.

THE PRICE STACK

The gap between MSRP and reality.

01

The sticker price on the window is not the price. It is a starting point designed to make everything below it feel like a win.

Between MSRP and what the dealer actually paid sit multiple layers of manufacturer-to-dealer money that never appear on any consumer document.

Invoice price is what the dealer paid the manufacturer. It sounds like the floor. It is not, because the dealer never truly pays invoice.

Holdback is 2 to 3 percent of MSRP that the manufacturer quietly pays back to the dealer after every sale. On a \$50,000 vehicle that is \$1,000 to \$1,500 the dealer collects even when they sell at invoice. Most buyers have never heard the word.

Dealer cash is regional and model-specific incentive money that flows directly to the dealer and never appears on any consumer-facing document. A dealer on slow-moving inventory might have \$2,000 to \$4,000 in dealer cash. You would have no way of knowing.

The result: a dealer can sell at invoice and still make thousands. The negotiation you think you are winning is on a board where you can only see one square.

TYPICAL SAVINGS

\$1,500
-\$6,000

on vehicles priced between
\$45-\$55k vehicle

THE LEASE

Four **variables**. You see one.

02

Leasing is the most financially complex consumer transaction most people will ever make. The opacity is not accidental.

A lease has four primary variables: the cap cost (selling price), the money factor (interest equivalent), the residual value, and the fees.

The money factor is the lease equivalent of an interest rate expressed as a decimal like .00189. The manufacturer sets a base rate every month. Dealers mark it up and pocket the difference, exactly like a mortgage broker marking up a rate. The buyer almost never knows the base rate exists.

The cap cost is the selling price and it is fully negotiable. But most lease shoppers focus on the monthly payment and never negotiate the underlying price at all.

Dealer add-ons are frequently pre-loaded into the cap cost. On a lease you are not just paying for these products. You are paying interest on them for the entire term.

TYPICAL SAVINGS

\$800
-\$3,600

over a 36-month lease term

THE FINANCE OFFICE

Win at the desk, **lose** in the office.

03

The finance and insurance office generates more profit per deal than the entire sales floor. This is by design.

You have just spent hours negotiating the purchase price. You are tired, relieved, and ready to be done. This is the exact moment the finance manager is trained to exploit.

Extended warranties (VSCs) are the highest-margin product in the room. The dealer pays roughly 40 to 60 cents on the dollar for what they sell to you.

GAP insurance is a legitimate product some buyers genuinely need. It is also available through your own insurance company for a fraction of what the dealer charges.

Interest rate markup is the quiet one. The dealer has a buy rate from the lender and is permitted to mark it up and keep the difference. On a \$40,000 loan over 60 months, one percentage point costs you approximately \$1,000.

TYPICAL SAVINGS

\$500
-\$2,500

in unnecessary finance and insurance products

YOUR TRADE-IN

Two numbers, **you** only know one.

04

Your trade has a real market value and a dealer offer. Those are almost always different numbers.

The sequence of the trade conversation matters as much as the numbers. Revealing a trade too early gives the dealer a variable to use throughout the negotiation.

The classic move: the dealer gives you a strong trade offer to build goodwill, then holds firmer on the purchase price. The adjustments net out. You feel like you won. You did not.

What the dealer does with your trade: within 24 to 48 hours your vehicle is wholesaled at a price the dealer knew before you walked in. They have access to the same auction data that tells them exactly what your car will bring. You do not.

Negative equity is one of the most quietly dangerous situations in a car deal. Dealers will roll it into your new loan without clearly disclosing how it affects your total cost or monthly payment.

TYPICAL SAVINGS

\$1,000
-\$3,000

gap between offer and
market value

THE CLOCK

Time is their **weapon.**

05

You buy a car every three to five years. They sell ten today. Every minute in that building works against you.

The dealership environment is engineered to wear you down. Long waits, a disorienting showroom, a test drive that builds emotional attachment before the numbers are ever discussed.

End-of-month pressure is real but weaponized. Dealers manufacture urgency at any time: a price expiring tonight, a vehicle someone else is supposedly looking at, an incentive ending this weekend.

The four square worksheet presents purchase price, trade value, down payment, and monthly payment simultaneously. The goal is to make it nearly impossible to track where concessions are actually happening. The buyer chases the payment. The dealer controls the total.

The manager visit is a practiced escalation. A fresh face with apparent authority resets the emotional baseline. The manager is not there to give you a better deal. They are there because the salesperson needed help closing.

TIME LOST

**Up to 5
hours**

average time per visit

THE LOAN

Your **financing** is a profit center.

06

If you finance through the dealership, the loan itself is a revenue stream. The dealer is not your lender. They are a broker.

When you finance through a dealership the lender provides a buy rate: the lowest rate your credit qualifies for. The dealer marks it up by 1 to 2.5 percentage points and keeps the difference. This is called dealer reserve.

You are almost never told the buy rate. If you have financing arranged elsewhere at a lower rate, the dealer may suddenly match it because their reserve still allows room.

Term extension is the monthly payment trick. A dealer can stretch your loan from 60 to 72 or 84 months. Your payment drops. Your total interest cost increases substantially and you are underwater on the vehicle for longer.

Spot delivery lets you take the vehicle before financing is fully approved. Days later they call to say the terms changed. You are already emotionally attached. This is not an accident.

TYPICAL SAVINGS

\$500
-\$2,000

from a 1-point rate markup
on a \$40k loan

THE ADD-ONS

Things you **never** asked for.

07

Before you sit down your vehicle may already have hundreds to thousands in dealer-installed products added to its price.

Dealer add-ons appear on the window sticker as "dealer-installed options" or "market adjustment." They are presented as non-negotiable. They are not.

Common examples: paint sealant applied with a consumer-grade product, nitrogen tire fills, VIN etching presented as theft protection, door edge guards, and floor mats at five times retail.

The ADM (Additional Dealer Markup) is a line item added above MSRP on high-demand vehicles. It has no basis in manufacturer pricing. ADM on popular trucks and SUVs has historically run \$2,000 to \$10,000 above sticker.

Dealer add-ons are almost always negotiable. A dealer who applied the product cannot un-apply it, but they can remove the charge. Whether they do depends entirely on whether you know to ask and whether you are willing to walk.

TYPICAL SAVINGS

\$1,000
-\$4,000

of unnecessary add-ons



You **finally** have someone in your corner.

GetSorted is a Chicago-based car buying service. We handle the research, the negotiation and the dealer conversations. You get the vehicle you want, without the stress, and at a fair market value price.

Flat fee. No percentage of savings. No hidden charges.

Book a free 15-minute consultation

No pitch. No pressure. Just the real numbers on your deal.